

New Jersey Makes One Last Desperate Attempt at Sabotaging Congestion Pricing in New York City

The state is asking that \$9 congestion tolls that will be charged to drivers entering lower Manhattan starting Sunday be stopped while its legal challenge to them is ongoing.

CHRISTIAN BRITSCHGI | 1.2.2025 3:55 PM

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(Andrey Bayda/Dreamstime.com)

Charging drivers a price for using congested, currently free roadways is near-universally accepted as the only surefire way to eliminate gridlock traffic.

The endless drama over New York's implementation of "congestion tolls" to be charged to drivers entering lower Manhattan is a case study of how a good policy in theory can be undone by broken regulatory processes and toxic

practical politics.

Late on New Year's Eve, New Jersey asked a federal judge to stop New York from moving ahead with its plan to start charging motorists \$9 congestion tolls starting January 5 while its federal environmental lawsuit challenging the policy plays out.

New Jersey's filing claimed the state would suffer irreparable harm from increased traffic and reduced air quality if the tolls were allowed to go into effect as scheduled, reports *The New York Times*.

The move potentially endangers the tolling scheme that was first approved by the New York Legislature in 2019 and was initially supposed to go into effect in January 2021.

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Since New York's plan involved tolling federal-aid highways, it needed federal sign-off, which in turn requires arduous environmental review mandated by the federal National Environmental Policy Act (NEPA).

NEPA requires federal agencies to study the environmental impacts of the discretionary actions they make as well as collect public feedback on potential environmental impacts. Third parties are empowered to sue agencies for conducting insufficient environmental reviews.

The law frequently invites lawsuits from third parties whose main motivation isn't securing a more thorough environmental review but rather delaying a disfavored project for as long as possible.

New York's NEPA review of congestion pricing—which involved dozens of public hearings, the collection of 28,000 pages of public comment, and some alleged foot-dragging from the Trump administration—was finally completed in June 2023.

Throughout this process, everyone from truckers to teachers unions argued that the importance of the congestion *they* caused warranted an exemption from the tolls.

No one has fought New York's congestion pricing plan harder than New Jersey. Garden State politicians have proposed federal bans on congestion pricing, revenge tolls on New Yorkers entering the state, and tax credits for New Jersey commuters who end up having to pay the tolls.

Shortly after the federal NEPA sign-off, New Jersey sued federal highway officials, arguing that they didn't do a thorough enough environmental analysis of the congestion pricing scheme.

New York pressed ahead with congestion pricing implementation while that lawsuit was ongoing. Then in June 2024, just a few days before the tolls were supposed to go into effect, Gov. Kathy Hochul indefinitely suspended them on the grounds that the timing wasn't quite right.

Coincidentally enough, with the 2024 election in the rearview mirror, Hochul announced that the time was now right to start imposing reduced tolls.

On Monday, a federal judge issued a ruling in New Jersey's NEPA lawsuit saying that New York had followed most of the required steps in federally mandated environmental review. New York officials took this as license to proceed with the tolls.

That Monday ruling likely makes New Jersey's Tuesday filing a futile effort. Per the *Times* reporting, the speculation is that New Jersey is simply trying to delay implementation of congestion pricing until Donald Trump (a critic of the policy) is back in the White House and in a position to block the program.

A statement from the lawyer representing New Jersey suggests political motives: "New Jersey remains firmly opposed to any attempt to force through a congestion pricing proposal in the final weeks of the Biden administration," Randy Mastro said.

New York's congestion tolling program is hardly an ideal policy.

The \$9 tolls (reduced from the \$15 most drivers would have been charged before Hochul's suspension) are likely too low and too static to meaningfully reduce Manhattan gridlock. For instance, Singapore's successful congestion pricing program charges dynamic tolls to ensure a set travel speed.

New York's decision to pour all of its congestion toll revenue into New York rail transit likewise gave New Jersey drivers a legitimate gripe that they were merely being taxed to fund a horribly wasteful transit bureaucracy they don't even use.

Nevertheless, if congestion pricing in New York is killed again at the last minute, it won't be because of reasonable complaints about the design of the program. Rather, it'll be a result of special interests once again hijacking a broken environmental review process that delays projects both good and bad.

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CHRISTIAN BRITSCHGI is a reporter at *Reason*.

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